

Major Examples: Federal Reserve and War Powers

GOVT2305: Federal Government

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1. Agenda and Announcements

1.1 Agenda Today

- Part I: The Federal Reserve - fact and fiction
- Part II: War Powers
- Both parts will be a mix of lecture, questions, and discussion

1.2 Upcoming Dates

- Semester Drawing to a close
- Module 3 Quiz August 3

- Study Guide due Friday
- Journals Due Monday
- Connect Due Monday

- Module 4 Quiz August 4

- Everything for Module 4 due Tuesday

- All late work due August 6
- Finals - August 5 and 6 per HCC schedule

1.3 Finals Schedule

- Monday-Tuesday 8 AM class: August 5, 7 AM — GRRRRRRR!
- Monday-Tuesday 10:30 AM class: August 6, 9 AM

- Monday-Tuesday 1 PM class: August 6, 1 PM

1.4 Final Exam Rules (be on time!)

- If no one is here within 10 minutes of start time, I will leave
- Once the first student finishes, no one else will be allowed to start the exam
- The time limit will end after 1 hour 50 minutes to allow the next class to enter
- There will be sufficient time for accommodations for people who arrive on time - it is your responsibility to do so

2. The Federal Reserve System

2.1 I. Core Functions of the Federal Reserve

2.1.1 Monetary Policy

- FOMC sets target range for federal funds rate
- Influences rate via interest on reserves, ON RRP, open market operations
- Dual mandate: maximum employment + stable prices
- Discount rate set directly by Fed (collateralized discount window lending)

2.1.2 Bank Supervision and Regulation

- Oversees bank holding companies and state member banks
- Shares landscape with OCC, FDIC, CFPB, and state regulators

2.1.3 Payment Systems and Financial Services

- Historical check clearing; now Fedwire, FedNow, other settlement systems
- Critical payment-system infrastructure

2.1.4 Lender of Last Resort

- Discount window: short-term *collateralized* liquidity
- Collateral always required (securities + loans)
- Expanded in crises (2008, 2020); never eliminated

2.1.5 Fiscal Agent for the U.S. Treasury

- Maintains Treasury account, issues/redeems securities, processes tax payments
- Historical parallel: Bank of England (1694) after Glorious Revolution
 - Credible public debt → lower borrowing costs → capital-market development (North & Weingast)
- Current relevance: helps keep government borrowing costs lower amid high federal debt

2.2 II. Monetary Policy Independence — Why It Matters

- Congress sets goals; Fed decides day-to-day means
- Designed to reduce short-term political pressure on rates
- Comparison to judicial independence:
 - Governors: 14-year staggered terms (cross administrations)
 - Chair: separate 4-year renewable term (often begins mid-presidential term; frequently continues into next administration)
 - Unlike life-tenured judges: limited terms + ongoing accountability to Congress
- “Independent *within* the government,” not outside it

2.3 III. Addressing Major Conspiracy Theories

2.3.1 Theory 1: “Private bank owned by bankers / foreign elites / Rothschilds for private profit”

- **Grain of truth:** Member banks hold non-transferable stock; Reserve Banks have private-sector directors
- **Reality:**
 - Hybrid created by Congress (Federal Reserve Act 1913)
 - Board of Governors = federal agency (presidential appointment + Senate confirmation)
 - Stock: mandatory, limited statutory dividend (6% smaller banks; lesser of 6% or 10-year Treasury yield for larger), no residual ownership
 - Excess earnings remitted to Treasury
 - No credible evidence of Rothschild/foreign family control

2.3.2 Theory 2: The “Audit the Fed” Conspiracy Theory

(“*Secret, unaccountable, never audited*”) - **Grain of truth:** Monetary-policy deliberations insulated from direct GAO evaluation of judgments; 1910 Jekyll Island meeting was secretive - **Reality:** - Annual independent external audits of Board and Reserve Banks - Board OIG ongoing audits/investigations - Frequent GAO reviews of operations, supervision, emergency facilities - Weekly balance sheet; semiannual Monetary Policy Report; regular congressional testimony - FOMC minutes released ~3 weeks after meeting - Full transcripts + staff materials released after 5-year lag - “Audit the Fed” proposals usually seek to remove the monetary-policy carve-out - Outside analysis and criticism of data/actions/outcomes already continuous

2.3.3 Theory 3: “Created in bankers’ conspiracy (Jekyll Island) to engineer inflation / boom-bust cycles”

- **Grain of truth:** 1910 Jekyll Island meeting secretive + involved leading bankers; pre-Fed panics (e.g., 1907); monetary policy affects inflation and cycles

- **Reality:**
 - Draft substantially modified, publicly debated, enacted by Congress under Wilson
 - Progressive-Era compromise: fear of centralized power vs. need for lender of last resort + elastic currency
 - Excess profits to Treasury, not private shareholders
 - Independence, long terms, multi-layered audits designed to limit capture
 - Policy mistakes real and debated; hidden-cabal claim unsupported by design or fund flows

2.4 IV. Closing Bridge to Discussion

- Hybrid, imperfect institution created by and accountable to Congress
- Actual structure (public Board + regional banks + limited stock + Treasury remittances + audits/disclosure) best antidote to conspiracy claims
- Discussion prompts:
 - Which parts still seem opaque or problematic?
 - How does the independence trade-off compare to other institutions?

3. War Powers in Recent Conflicts

(Second half of lecture day)

3.1 I. Opening Frame

- Article I (Congress declares) vs. Article II (Commander-in-Chief)
- War Powers Resolution 1973: attempt at “collective judgment”
- Five decades of practice: executive expansion, congressional difficulty reclaiming authority
- Today’s cases: Venezuela (Jan 2026) first, then Iran (Feb 2026–)

3.2 II. Case Study 1: Venezuela Operation (January 2026)

3.2.1 What happened

- Military operation inside Venezuela
- Capture of Nicolás Maduro and Cilia Flores
- Transfer to U.S. for federal criminal charges
- Kinetic strikes; significant reported casualties

3.2.2 Administration framing

- Law-enforcement action facilitated by military
- Article II authority + national interests

- Claims it did not fully constitute “war” or “hostilities”

3.2.3 Precedent: Operation Just Cause (Panama, Dec 1989)

- Capture of Manuel Noriega on drug-trafficking charges
- Mix of criminal-law goals + military force to remove head of state
- Justifications: protect Americans, democracy, drug trafficking, canal treaties
- Practical precedent later administrations have echoed

3.2.4 War Powers issues

- Did it trigger 48-hour report and 60-day clock?
- Link to earlier Caribbean boat strikes (drug/terror designations)
- Later arguments that some remote/drone strikes fell below “hostilities” threshold (low risk to U.S. personnel)
- Multiple congressional resolutions seeking termination; some bipartisan, none veto-proof

3.2.5 Teaching points

- Blurred line: law enforcement vs. use of force against a state
- Historical precedent undercuts pure novelty claims
- Post-*Chadha*: concurrent resolutions = political signal, not enforceable command

3.3 III. Case Study 2: Iran Conflict (February 2026–present)

3.3.1 Timeline

- ~28 Feb 2026: major strikes begin; 48-hour reports under Article II
- May 2026: administration claims hostilities “terminated” after April ceasefire (attempt to stop/reset 60-day clock)
- Both chambers pass concurrent resolutions directing withdrawal (first time for ongoing conflict; still non-binding)
- June–July 2026: renewed strikes; new 48-hour reports citing Iranian attacks on shipping in Strait of Hormuz

3.3.2 Core disputes

- Does a ceasefire truly terminate hostilities for the clock?
- Continued reliance on broad Article II “respond to threat” claims
- Weakness of concurrent resolutions after *Chadha*

3.4 IV. Broader Patterns

- Narrowing of “hostilities” (risk to U.S. personnel, no ground troops, remote ops) — Libya 2011 as key precedent
- 60-day clock more reporting/political deadline than automatic off-switch

- Courts largely treat disputes as political questions
- Both parties expand executive latitude when in the White House

3.5 V. Bridge to Discussion

- 1973 statute applied to capture ops, maritime interdictions, precision strikes, protracted campaigns
- Congress still has tools (funding, new AUMFs, joint resolutions) but rarely the political will or super-majorities
- Move to discussion questions (esp. 60-day clock as limit/license; modern definition of hostilities; declarations vs. open-ended AUMFs)

3.6 Authorship and License

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